LINCOLN ELECTRIC SYSTEM

STATEMENT OF NET POSITION

As of December 31, 2024

Assets and Deferred Outflows of Resources	(Dollars in thousands)
Current Assets	
Cash and cash equivalents	$ 97,556
Restricted cash, cash equivalents and investments	22,065
Accounts receivable, net	26,046
Lease receivable	320
Unbilled revenues	18,007
Accrued interest receivable	744
Materials, supplies and fuel inventory	34,934
Plant operation assets	21,621
Other current assets	5,776
Total current assets	227,069
Noncurrent Assets	
Restricted cash, cash equivalents and investments	35,412
Lease receivable	6,523
Accrued lease interest	133
Other noncurrent assets	8,448
Total noncurrent assets	50,516
Capital Assets	
Utility plant	1,872,206
Accumulated depreciation	(966,867)
Construction work in progress	157,487
Total capital assets	1,062,826
Deferred Outflows of Resources	
Deferred loss on refunded debt	6,834
Deferred costs for asset retirement obligations	2,973
Total deferred outflows of resources	9,807
Total Assets and Deferred Outflows of Resources	$ 1,350,218
Liabilities and Deferred Inflows of Resources	
Current Liabilities	
Accounts payable	$ 25,339
Accrual for payments in lieu of taxes	13,704
Commercial paper	65,500
Accrued software interest	30
Accrued liabilities	32,545
Current maturities of long-term debt	35,740
Current maturities of software liabilities	992
Accrued interest payable	5,953
Total current liabilities	179,803
Noncurrent Liabilities	
Long-term debt, net	486,714
Developer performance deposits	16,593
Health and dental plan reserves	1,163
Asset retirement obligation	2,973
Software liabilities	1,441
Total noncurrent liabilities	508,884
Deferred Inflows of Resources	
Reductions of future billings	18,132
Leases	6,300
Total deferred inflows of resources	24,432
Total liabilities and deferred inflows of resources	713,119
Net Position	
Net investment in capital assets	487,477
Restricted for debt service	12,486
Restricted for employee health insurance claims	2,757
Unrestricted	134,379
Total net position	637,099
Total Liabilities, Deferred Inflows of Resources and Net Position	$ 1,350,218

See Notes to the Financial Statements.

LINCOLN ELECTRIC SYSTEM

STATEMENT OF REVENUES, EXPENSES AND CHANGES IN NET POSITION

For the Year Ended December 31, 2024

	(Dollars in thousands)
Operating Revenues	
Electric retail	$ 301,140
Electric wholesale	58,677
Other (includes City Dividend for Utility Ownership)	22,952
Total operating revenues	382,769
Operating Expenses	
Purchased power	75,110
Produced power	63,003
Operations	27,693
Maintenance	13,254
Administration and general	66,773
Depreciation and amortization	35,851
Total operating expenses	281,684
Operating Income	101,085
Nonoperating Revenues (Expenses)	
Interest expense	(16,946)
Payment in lieu of taxes	(13,954)
City Dividend for Utility Ownership	(12,944)
Interest income	7,710
Other income	546
Total nonoperating expenses	(35,588)
Capital Contributions	3,881
Plant Costs Recovered through Capital Contributions	(3,881)
Change in Net Position	65,497
Net Position - Beginning of Year	571,602
Net Position - End of Year	$ 637,099

See Notes to the Financial Statements.

LINCOLN ELECTRIC SYSTEM

STATEMENT OF CASH FLOWS

For the Year Ended December 31, 2024

	(Dollars in thousands)
Operating Activities	
Received from sales to customers and users	$ 378,698
Sales tax receipts	16,682
Paid to suppliers for goods and services	(205,660)
Paid to employees for services	(47,460)
Payments for sales tax	(16,606)
Net cash provided by operating activities	125,654
Noncapital Financing Activities	
Payment in lieu of taxes	(13,369)
City Dividend for Utility Ownership payments	(12,557)
Net cash used in noncapital financing activities	(25,926)
Capital and Related Financing Activities	
Capital expenditures	(92,369)
Net cost/salvage value of retiring plant	(2,564)
Capital contributions	2,168
Cash received from leases	515
Principal payments on software agreements	(665)
Interest payments on software agreements	(67)
Principal payments on long-term debt	(37,800)
Interest payments on long-term debt	(20,839)
Net cash used in capital and related financing activities	(151,621)
Investing Activities	
Net sales of investments	56,685
Interest received	7,557
Net cash provided by investing activities	64,242
Net Change in Cash and Cash Equivalents	12,349
Cash and Cash Equivalents - Beginning of Year	35,019
Cash and Cash Equivalents - End of Year	$ 47,368
Reconciliation of Cash and Cash Equivalents to the Balance Sheet	
Cash and cash equivalents	$ 97,556
Restricted cash, cash equivalents and investments - current	22,065
Restricted cash, cash equivalents and investments - noncurrent	35,412
Total cash, cash equivalents and investments	155,033
Less: investments not classified as cash equivalents	(107,665)
Total cash and cash equivalents	$ 47,368

See Notes to the Financial Statements.

LINCOLN ELECTRIC SYSTEM

STATEMENT OF CASH FLOWS – CONTINUED

For the Year Ended December 31, 2024

		(Dollars in thousands)
Reconciliation of Operating Income to Net Cash Provided by Operating Activities		
Operating income	$	101,085
Noncash items included in operating income		
Depreciation charged to other accounts		1,194
Depreciation and amortization		35,851
Changes in operating assets and liabilities		
Accounts receivable		(2,949)
Unbilled revenues		(389)
Materials, supplies and fuel inventories		(3,207)
Plant operation assets		(3,832)
Other current assets		(1,229)
Other noncurrent assets		(5,139)
Accounts payable		8,421
Sales tax payable		76
Accrued expenses		12,131
Health and dental plan reserve		441
Reductions in future billings		(16,800)
Net cash provided by operating activities	$	125,654
Supplemental Noncash Activities		
Capital asset acquisitions included in accounts payable	$	632
Capital assets acquired through addition of software liabilities		1,659

See Notes to the Financial Statements.

Leases

Leases are contracts that convey control of the right to use another entity's nonfinancial asset for a specified period of time in an exchange or exchange-like transaction, without the transfer of ownership of the asset. LES leases communication tower space throughout the service area. LES is considered the lessor in these arrangements.

For lessor contracts, lease receivables and deferred inflows of resources are established at present value utilizing LES' estimated incremental borrowing rate on the date the contract is signed, unless otherwise stated in the contract terms. Amortization of the lease receivable discount results in interest income, and amortization of the deferred inflows of resources, results in other income in the nonoperating section of the Statement of Revenues, Expenses and Changes in Net Position. LES monitors changes in circumstances, that would require a remeasurement of its leases and will remeasure the lease receivable and deferred inflows of resources if certain changes occur that are expected to significantly affect the amount of the lease receivable.

Subscription-Based Information Technology Arrangements (SBITA)

Subscription-Based Information Technology Arrangements (SBITA), are contracts that convey control of the right to use another party's information technology software for a specified period in an exchange or exchange-like transaction, without the transfer of ownership of the asset. The subscription term is the period that LES has a noncancellable right to use the underlying asset. SBITA assets and liabilities are reported at the present value using LES' incremental borrowing rate unless otherwise noted in the contract terms. SBITA assets are reported in utility plant and SBITA liabilities are reported as software liabilities on the Statement of Net Position.

Compensated Absences

In June 2022, GASB issued Statement No. 101 *Compensated Absences* (GASB 101), effective for reporting periods beginning after December 15, 2023. The objective of this statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. LES previously recognized liabilities on the Statement of Net Position for unused vacation benefits earned by employees as well as vested sick leave. Beginning in 2024, LES is also recognizing a liability for a portion of non-vested sick leave amounts that are more likely than not to be used for time off. LES has adopted this new GASB standard, effective January 1, 2024, and all 2024 financial statements and figures contained herein reflect the new standard. Although GASB 101 requires retrospective application, the adoption of this new statement had an immaterial impact on LES' beginning net position.

Deferred Loss on Refunded Debt

Costs incurred in connection with the refinancing of various bond issuances are being amortized over the remaining life of the old bonds, or the life of the new bonds, whichever is shorter. Amortization is recorded as a component of interest expense within nonoperating expenses. The deferred loss on the refunded debt balance was $6,834,000 as of December 31, 2024.

Recovery of Plant Costs

Capital contributions are received from customers and other third parties, primarily to offset the costs associated with an expansion of LES' electrical system. LES follows FERC guidelines for recording capital contributions. These guidelines direct the reduction of utility plant by the amount of these contributions. In

LES, as of December 31, based upon the most recent audited year-end financial statements. The dividend is remitted to the City semiannually on the 20th day of February and August each year. Each payment represents 50% of the annual dividend payment. In 2024, LES submitted CDFUO payments totaling $12,557,000.

The CDFUO is assessed on all retail customer billings and is treated as operating revenue on the Statement of Revenues, Expenses and Changes in Net Position. LES records the estimated liability for the CDFUO as a nonoperating expense on the Statement of Revenues, Expenses and Changes in Net Position. As of December 31, 2024, $4,573,000 was included in the accrued liabilities for the next CDFUO payment.

Note 2: Deposits and Investments

Deposits

State statute requires banks to issue a bond, or pledge government securities, to LES for the amount of utility deposits. The statute allows pledged securities to be reduced by the amount of the deposit insured by the Federal Deposit Insurance Corporation (FDIC). LES' cash deposits are insured up to $250,000 by the FDIC.

Investments

LES may invest in U.S. government securities and agencies, U.S. instrumentalities, instrumentalities of the United States, repurchase agreements, corporate issues, money market mutual funds, interest-bearing time deposits or savings accounts, state and/or local government taxable and/or tax-exempt debt, and other fixed term investments, as designated in LES Policy 510 (Investments).

Fair Value Measurements

Fair value is the price that would be received to sell an asset, or paid to transfer a liability, in an orderly transaction among market participants at the measurement date. Fair value measurements must maximize the use of observable inputs and minimize the use of unobservable inputs. A hierarchy of three levels of inputs may be used to measure fair value:

Level 1 – Quoted prices in active markets for identical assets or liabilities.

Level 2 – Observable inputs other than Level 1 prices, such as quoted prices for similar assets or liabilities; quoted prices in markets that are not active; or other inputs that are observable, or can be corroborated by observable market data, for the full term of the assets or liabilities.

Level 3 – Unobservable inputs, supported by little or no market activity, and are significant to the fair value of the assets or liabilities.

Money market mutual funds are carried at cost and thus are not included within the fair value hierarchy.

The table below presents the fair value measurement of LES' assets recognized in the accompanying financial statements, measured at fair value on a recurring basis and the level within the fair value hierarchy in which the fair value measurement falls at year-end.